



PIVOTBOSS

PRESENTS

SWING TRADE PRO 2.0

THE 5-STEP SWING TRADING BLUEPRINT

STEP 1: RISK MANAGEMENT



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1. RISK MANAGEMENT

SET YOUR RISK PARAMETERS

- 1.1 Equity Model Calculation
- 1.2 Trade Allocation Model
- 1.3 Percent of Trade Allocation
- 1.4 Portfolio Heat
- 1.5 Risk Management Matrix

RISK MANAGEMENT: SET YOUR RISK PARAMETERS

"If you are unable to trade without the slightest bit of emotional discomfort (specifically, fear), then you have not learned how to accept the risks inherent in trading. This is a big problem, because to whatever degree you haven't accepted the risk, is the same degree to which you will avoid the risk. Trying to avoid something that is unavoidable will have disastrous effects on your ability to trade successfully."

— Mark Douglas, *Trading in the Zone*

Set Your Risk Parameters

Step 1 of our 5-Step Blueprint is Risk Management, wherein you'll learn how to define your personal risk parameters, from trade allocation to max portfolio heat. Each trader has a different risk tolerance, and it is important that you fully understand your own risk tolerance so that you may define the risk that you are willing to take for a given opportunity. You will also learn how to navigate among various levels of risk exposure as the odds of profitability for opportunities increase or decrease.

Assess Your Risk Profile:

- **Conservative:** A conservative trader focuses on capital preservation and growth, and looks to produce income trades while limiting risk.
- **Moderate:** A moderate trader focuses on growth and looks to increase and decrease risk exposure according to the odds of profitability for a given opportunity.
- **Aggressive:** An aggressive trader seeks to rapidly grow an account, and will place directional bets under the most favorable circumstances, increasing exposure as odds increase.



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RISK MANAGEMENT: EQUITY MODEL CALCULATION

Before putting your money at risk, you must first outline how you intend to manage risk. In essence, you must first set your risk parameters before executing trades. In this section, you will learn how to calculate tradable equity so you can begin determining your preferred trade allocation. We will use the Core Equity Model to calculate tradable equity.

Core Equity Model: The value of your account equity is determined by the amount of cash in your account less the risk amount allocated for each open position. Equity is only added back after closing a position. Use this model to determine how much of your account to risk for each position.

CORE EQUITY EXAMPLE:

TOTAL EQUITY	\$50,000
TRADE 1 RISK ALLOCATION (1%)	\$500 (50,000 x 1%)
REMAINING CORE EQUITY	\$49,500 (50,000 - 500)
TRADE 2 RISK ALLOCATION (1%)	\$495 (49,500 x 1%)
REMAINING CORE EQUITY	\$49,005 (49,500 - 495)
TRADE 3 RISK ALLOCATION (1%)	\$490 (49,005 x 1%)
REMAINING CORE EQUITY	\$48,515 (49,005 - 490)



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RISK MANAGEMENT: TRADE ALLOCATION MODEL

Trade Allocation determines how much you're willing to risk for a given trade. The Trade Allocation Model that we will use is the Fixed Risk Model, which allows traders to control position size as a percentage of Core Equity.

Fixed Risk Model (AKA Fixed Fractional Model): This model involves controlling position size as a percentage of core equity.

The following statistics are based on trade simulations performed by Dr. Van Tharp in his book *Van Tharp's Definitive Guide to Position Sizing Strategies*, which gives you a basic understanding of the risk profiles associated with the various percentages:

- **0.8% Fixed Risk:** Returned a chance of ruin of only 0.1% and a meager 0.4% chance of reaching 300% profit objective on 100k account over the first 100 trades
- **1.2% Fixed Risk:** Returned less than a 1% chance of ruin and a modest 8.5% chance of reaching 300% profit objective on 100k account over the first 100 trades
- **2.6% Fixed Risk:** The optimal retire/ruin ratio is risking 2.6%, based on 10,000 100 trade simulations. With this percentage, there is a 53.9% chance of reaching a profit of 300% over 100 trades, and a 12.3% chance of ruin, which was defined as a 25% loss of starting equity
- **3.6% Fixed Risk:** Returned the greatest probability of reaching +300% objective (60.3% chance), with a 22.6% chance of ruin (-25%)
- **4.6% Fixed Risk:** Returned the highest Median Gain percentage gain (+545.5%), with a 58.2% chance of success (+300%), and a 31.7% chance of failure (-25%)



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RISK MANAGEMENT: TRADE ALLOCATION MODEL

Depending on your Core Equity, you'll want to adjust the Fixed Risk Model to fit your risk profile and account goals.

For account sizes above \$25,000, look to use more of a “conventional” approach to the Fixed Risk Model, which generally includes limiting position sizing to between 1% and 3% of core equity. This becomes more important as you approach, or exceed, equity of \$100,000.

For account balances less than \$25,000, you may want to be more aggressive, as shown below:

FIXED RISK MODEL EXAMPLES:

CORE EQUITY > \$25,000

- 1.0% Fixed Risk Trade Allocation (CONSERVATIVE)
- 1.5% Fixed Risk Trade Allocation (MODERATE)
- 2-3.0% Fixed Risk Trade Allocation (AGGRESSIVE)

EXAMPLE: \$150,000 (CORE EQUITY) x 1.5% (MODERATE) = \$2,250 Trade Allocation

CORE EQUITY < \$25,000

- 2.5% Fixed Risk Trade Allocation (CONSERVATIVE)
- 5.0% Fixed Risk Trade Allocation (MODERATE)
- 10.0% Fixed Risk Trade Allocation (AGGRESSIVE)

EXAMPLE: \$10,000 (CORE EQUITY) x 10.0% (AGGRESSIVE) = \$1000 Trade Allocation



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RISK MANAGEMENT: TRADE ALLOCATION MODEL

In this section, you will learn how to increase or decrease the level of exposure to the market for a trade based on the odds of profitability of the opportunity presenting itself.

Level of Exposure refers to the amount of risk capital that is exposed to the market for a given opportunity. Ideally, you want to increase the level of exposure for opportunities with higher odds of success, and look to decrease the level of exposure for opportunities with lower odds of success.

Depending on the odds of success and your desired level of exposure, you can execute entries into positions conservatively, moderately, or aggressively.

ODDS-BASED TRADE ALLOCATION:

ACCOUNT SIZE > \$25,000

- 1.0% (CONSERVATIVE): For trades with good odds of success
- 1.5% (MODERATE): For trades with high odds of success
- 2-3.0% (AGGRESSIVE): For trades with the best odds of success

ACCOUNT SIZE < \$25,000

- 2.5% (CONSERVATIVE): For trades with good odds of success
- 5.0% (MODERATE): For trades with high odds of success
- 10.0% (AGGRESSIVE): For trades with the best odds of success



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RISK MANAGEMENT: PERCENT OF TRADE ALLOCATION

Percent of Trade Allocation allows you to systematically scale into a position using a percentage of overall trade allocation. This entry allocation technique gives you a powerful approach to controlling the amount of overall trade allocation that will be exposed to the market at the outset of a trade, and then looking to reward winning trades with additional exposure.

Again, depending on the odds of success for an opportunity and your desired level of exposure, you can allocate conservative, moderate, and aggressive trade allocations, but choose to scale into these positions with a bit more conservatism.

ENTRY ALLOCATION:

- **Good Odds — 1.0% FIXED RISK (CONSERVATIVE)**
 - Scale into 33% of 1% Trade Allocation (CONSERVATIVE)
 - Scale into 50% of 1% Trade Allocation (MODERATE)
 - Scale into 100% of 1% Trade Allocation (AGGRESSIVE)
- **High Odds — 1.5% FIXED RISK (MODERATE)**
 - Scale into 33% of 1.5% Trade Allocation (CONSERVATIVE)
 - Scale into 50% of 1.5% Trade Allocation (MODERATE)
 - Scale into 100% of 1.5% Trade Allocation (AGGRESSIVE)
- **Best Odds — 2-3.0% FIXED RISK (AGGRESSIVE)**
 - Scale into 33% of 2.6% Trade Allocation (CONSERVATIVE)
 - Scale into 50% of 2.6% Trade Allocation (MODERATE)
 - Scale into 100% of 2.6% Trade Allocation (AGGRESSIVE)



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RISK MANAGEMENT: PORTFOLIO HEAT

In this section, you will learn how to calculate the amount of capital that is at risk for a portfolio. This metric is called Portfolio Heat.

Portfolio Heat (or Total Heat): The total amount of capital at risk for a portfolio, which includes the amount at risk for each open position.

Max Portfolio Heat: The maximum amount of capital that can be simultaneously at risk for a portfolio. Max Portfolio Heat is often presented as a percentage of Total Equity.

- Designed to limit the effects of price shocks that a portfolio can experience when leverage and exposure is high
- Designed to limit the effects of price shocks that a portfolio can experience when flash crashes occur
- The amount of portfolio heat you use should depend on the quality of the system, opportunities present, and the experience of the trader



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RISK MANAGEMENT: PORTFOLIO HEAT

Limiting Portfolio Heat is extremely important, which helps to avoid ruin during flash crash events and periods of high volatility. Here's how to calculate Max Portfolio Heat for various account sizes:

Max Heat by Account Size:

- **Account Size > \$25,000:** 10-15% Max Heat
- **Account Size < \$25,000:** 20-30% Max Heat

EXAMPLE 1: Account Size = \$100,000 @ 10% Max Heat

- **Max Portfolio Heat** = \$10,000 ($\$100,000 \times 10\% = \$10,000$)
- **Trade Allocation Model @ 1.5%** = \$1,500 ($\$100,000 \times 1.5\%$)
- **Total Number of Positions** = 6 ($\$10,000 / \$1,500 = 6.6$ Positions)

EXAMPLE 2: Account Size = \$5,000 @ 20% Max Heat

- **Max Portfolio Heat** = \$1000 ($\$5,000 \times 20\% = \$1,000$)
- **Trade Allocation Model @ 5%** = \$250 ($\$5,000 \times 5\%$)
- **Total Number of Positions** = 4 ($\$1,000 / \$250 = 4$ Positions)



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RISK MANAGEMENT: RISK MANAGEMENT MATRIX

The Risk Management Matrix incorporates and automates the sections that we've covered in Step 1: Risk Management, including using Core Equity to calculate conservative, moderate, and aggressive Trade Allocations.

Populate the yellow cells with your preferred risk management parameters, and allow the spreadsheet to calculate your customized risk management matrix.

The matrix is designed to provide accuracy, speed, and efficiency in calculating trade allocations and risk management controls in real time as you trade.

PIVOTBOSS RISK MANAGEMENT MATRIX							
TOTAL EQUITY	\$ 50,000						
CORE EQUITY	\$ 50,000		FIXED RISK MODEL				
MAX HEAT (%)	10%		CONSERVATIVE	1.00%	\$ 500		
MAX HEAT (\$)	\$ 5,000		MODERATE	1.50%	\$ 750		
MAX POSITIONS	10		AGGRESSIVE	2.60%	\$ 1,300		



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